REPORT TO MANAGEMENT ON INTERNAL CONTROL MATTERS

Audit of the Consolidated Financial Statements for the Year Ended December 31, 2024

From	Halvorsen & Pratt LLP, Independent Registered Public Accountants
To	The Audit Committee and Management of Manufacturer Inc.
Date Issued	February 21, 2025
Reference	HP-ML-2024-MFG
Scope	Matters arising from the FY2024 audit relating to the Manufacturing Division

In planning and performing our audit of the consolidated financial statements of Manufacturer Inc. for the year ended December 31, 2024, we considered the Company's internal control over financial reporting as a basis for designing our audit procedures. The matters below were identified during the audit and are reported for management's consideration. None of the matters below, individually or in aggregate, constitutes a material weakness.

Observation 1 — Documentation of useful life determinations (Repeat observation)

Condition. For 9 of the 34 additions we selected in the Manufacturing Division, the fixed asset register recorded a useful life without a corresponding record of the determination made under the Company's capitalization policy. In three of those cases the narrative note field was blank.

Effect. Where the register does not evidence how a useful life was arrived at, we are unable to test whether the policy in force at the point of initial recognition — including any special treatment applicable to the asset — was applied. Depreciation may be recorded over a period that does not reflect the Company's own policy.

Recommendation. The register's narrative note field should record, for every addition, the specific provision of the capitalization policy relied on in setting the asset's useful life, including any provision that displaces the standard life for the asset's base class.

Management response. Agreed. The revised policy effective January 1, 2025 expands the required register fields, and Divisional Controllers have been instructed to record the governing provision at the point of initial recognition beginning with Q1 2025.

Observation 2 — Central filing of lease agreements and amendments

Condition. Executed lease documentation for the Manufacturing Division is held locally rather than in the central contract repository. Two amendments executed during FY2024 were not provided to us until after our initial request, and neither had been reviewed by Corporate Accounting at the time of execution.

Effect. Contract modifications that change lease scope or consideration may not be identified in the period in which they take effect, and any reassessment required by the Company's policy may therefore be recorded late or omitted.

Recommendation. All lease agreements and amendments should be filed centrally within five business days of execution and routed to Corporate Accounting for classification review in the period of execution.

Management response. Agreed. Implementation is targeted for the FY2025 Q3 close. We note that lease classification and any reassessment continue to be the responsibility of the Divisional Controller.

Observation 3 — Documentation of the book/tax conformity election

Condition. The Manufacturing Division applies a standing book/tax conformity election for owned equipment. The supporting documentation for the election was not available in the tax workpaper file at the interim review and was subsequently provided by the Office of the Chief Tax Counsel.

Effect. Where an election of this kind is not documented in the provision workpapers, the basis on which tax depreciation departs from, or conforms to, the book charge for a given asset cannot be evidenced on the face of the provision.

Recommendation. The documentation supporting the election should be retained in the quarterly provision workpapers.

Management response. Agreed. The reconciliation will be a required attachment to divisional provision submissions beginning with the FY2025 Q3 close.

Observation 4 — Evidence of quarterly fixed asset review

Condition. The quarterly fixed asset register review required by Company policy was performed in each quarter of FY2024, but sign-off evidence was retained for only two of the four quarters in the Manufacturing Division.

Recommendation. Retain dated sign-off for each quarterly review, and record within the review whether any event in the period triggered a change to an asset's classification or useful life.

Management response. Agreed; effective Q1 2025.

Areas of Continued Audit Focus for FY2025

Based on the matters above and on changes in the Company's operations, we expect record-keeping over capital additions, contract filing and provision workpaper documentation to receive particular attention in our FY2025 procedures.

/s/ Halvorsen & Pratt LLP
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Cleveland, Ohio